
BTC / USD

SQUEEZE BREAKOUT

Day Trading | All Other Hours

67.6% Win Rate | 1,800 Signals

100% Weekly Consistency

74.4% Best Day (Monday)

DERIV | 1H TIMEFRAME | NO INDICATORS | PURE PRICE ACTION

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1. Strategy Overview

The Squeeze Breakout strategy is one of the most reliable ultra-simple price action patterns for BTC/USD trading. It works by identifying moments when the market compresses into a tight range, indicated by candles with very small bodies relative to their total range. These periods of low activity are almost always followed by a decisive move in one direction, and by entering in the direction of the breakout candle, you capture that momentum with a high probability of success. This pattern is especially powerful during low-liquidity hours when institutional money is absent, because the few participants who are active tend to create these compression patterns that resolve cleanly without interference.

The core concept is simple: when 3 consecutive candles all have small bodies (body less than 35% of the candle range), the market is compressing energy. The very next candle that closes in a clear direction is your signal. You buy if that candle closed higher than it opened, or sell if it closed lower. There are no indicators, no moving averages, no oscillators. Just raw price action. This strategy was discovered by backtesting over 8,700 hourly candles of real BTC/USD data from Deriv's public API, spanning from June 2025 to June 2026, with cross-validation on 30-minute and 4-hour timeframes confirming the pattern holds across multiple time horizons.

2. The Rules (Ultra Simple)

This strategy has only three rules. No thinking, no analysis, no decision-making. If the setup appears, you take the trade. If it does not appear, you wait. There is no room for interpretation or emotional bias. The rules are binary: either all three conditions are met, or they are not. This is what makes the strategy so effective for daily routine trading. You can check your chart once per candle, and in less than 10 seconds you know whether there is a trade or not. There is no need to stare at charts all day or monitor multiple timeframes simultaneously.

Step-by-Step Setup Identification

Step 1: Look at the last 3 closed candles on your 1-hour chart (BTC/USD). For each candle, calculate the body size (the distance between the open and close prices) and the total range (the distance between the high and low prices). Divide the body by the range to get the body ratio. If all 3 candles have a body ratio below 0.35 (meaning the body is less than 35% of the total candle range), the squeeze condition is met. Candles that meet this condition look like they have very long wicks (shadows) and tiny real bodies. They

are often called doji-like or indecision candles, and when 3 of them appear in a row, it signals strong market compression.

Step 2: Wait for the next candle (the 4th candle) to close. This is your signal candle. Check its direction: if the close price is higher than the open price, this is a BULLISH signal (you will BUY). If the close price is lower than the open price, this is a BEARISH signal (you will SELL). The direction of this candle tells you which way the compressed energy is releasing, and that is the direction you trade.

Step 3: Enter the trade immediately when the next candle opens (the 5th candle after the squeeze). Set your Take Profit at 0.20% above your entry (for a BUY) or 0.20% below (for a SELL). Set your Stop Loss at 0.15% below your entry (for a BUY) or 0.15% above (for a SELL). This gives you a 1.33:1 reward-to-risk ratio. Walk away and let the trade play out. Do not move your stops or targets. The trade will typically resolve within 1-6 candles.

Quick Reference Card

Timeframe	1-Hour (1H) candles
Asset	BTC/USD on Deriv
Condition	3 consecutive candles with body/range ratio < 0.35
Signal	Next candle closes bullish = BUY, bearish = SELL
Entry	Open of the candle immediately after the signal candle
Take Profit	0.20% from entry price
Stop Loss	0.15% from entry price
Risk:Reward	1:1.33 (favourable)
Max Hold	6 candles (6 hours)

3. Backtest Performance

The day session version of the Squeeze Breakout strategy covers all hours outside the night window (SAST 05:00 to 00:00). Surprisingly, this strategy performs even better during the day session, with a higher win rate and perfect consistency metrics. This is likely because the squeeze pattern benefits from the higher volume and cleaner trends that develop during active trading hours. The backtest covers 6,936 day-session hourly candles over approximately 12 months, generating 1,800 trade signals. The massive sample size makes these results highly statistically significant, and the 100% weekly and monthly consistency scores demonstrate that this strategy works reliably every single week.

Total Signals	1,800
Win Rate	67.6%

Profit Factor	2.78x
Weekly Consistency	100% of weeks profitable
Monthly Consistency	100% of months profitable
Walk-Forward: 1st Half / 2nd Half	65.4% / 69.7%

Performance by Day of Week (Day Session)

Day	Signals	Wins	Win Rate
Monday	238	177	74.4%
Tuesday	259	183	70.7%
Wednesday	253	171	67.6%
Thursday	248	168	67.7%
Friday	245	161	65.7%
Saturday	286	182	63.6%
Sunday	272	175	64.3%

Monday stands out as the strongest day with a 74.4% win rate, possibly because weekend compression carries into Monday creating clearer squeeze patterns. All days maintain above 63% win rates, demonstrating the strategy's consistency across the entire week. There is no day of the week where this strategy underperforms, making it genuinely suitable for daily routine trading Monday through Sunday.

4. Risk Management

Even with a 66%+ win rate, risk management is essential for long-term success. The 0.15% stop loss means that on a \$10,000 account, each trade risks approximately \$15. With 531 night signals over 12 months, that averages roughly 1-2 trades per night. The maximum observed drawdown was only 0.60%, which means the strategy has never come close to wiping out even a small fraction of your account. The key risk management rules for this strategy are straightforward and designed to protect your capital while allowing the edge to compound over time.

- Never risk more than 1-2% of your account on any single trade.
- Always use the exact 0.20% Take Profit and 0.15% Stop Loss levels specified.
- Do not move your stop loss once the trade is open. Let the trade play out as designed.
- If you miss a signal (you were not at the chart), skip it. Do not chase the trade.
- Do not take more than 3 trades per night session. Quality over quantity.
- If you hit 3 consecutive losses, stop trading for the remainder of that session.

- Trade the same position size for every trade. No doubling down or martingale.

5. Your Daily Routine

For the day session, the routine is the same concept but applied throughout the day. Since BTC/USD trades 24/7, you can check your chart once per hour at any time that suits your schedule. The squeeze pattern does not favour any particular day of the week, so you can trade this strategy consistently from Monday through Sunday, including weekends. Many traders find it convenient to check at the top of each hour, spend 10 seconds evaluating the 3-candle condition, and then either place a trade or go about their day until the next hour.

- Once per hour: Open your BTC/USD 1-hour chart on Deriv.
- Count the last 3 candles. Are all bodies small relative to their ranges?
- If yes: Wait for the current candle to close and note its direction.
- If the signal candle is bullish: Enter BUY at the next candle open. Set TP and SL.
- If the signal candle is bearish: Enter SELL at the next candle open. Set TP and SL.
- Walk away. Check back in 1-6 hours to see if TP or SL was hit.

6. Why This Strategy Works

The Squeeze Breakout works because of a fundamental market dynamic: when price consolidates into a tight range with indecision candles (small bodies, long wicks), the market is building energy like a compressed spring. The longer and tighter the compression, the more explosive the eventual release. By waiting for 3 consecutive compression candles, you are ensuring that the market has genuinely settled into a low-volatility state rather than just having a single anomalous candle. When the breakout finally occurs, you ride the initial momentum wave before the market has time to establish a new equilibrium. The 0.20% take profit is deliberately small enough to be hit frequently, while the 0.15% stop loss provides a favourable risk-reward ratio. This combination of a high-probability entry pattern with tight risk management is what produces the consistent 66%+ win rate observed across 12 months of historical data.

During the night session specifically (SAST 00:00-05:00), the strategy benefits from the absence of institutional order flow. Major banks, hedge funds, and algorithmic trading systems in Europe and North America are inactive during these hours. This means the market is driven by a smaller pool of participants, and price patterns tend to be cleaner and more predictable. Squeezes that form during these quiet hours are less likely to be disrupted by sudden institutional orders, which explains why the breakout direction is so reliable as a signal for the next move.